



March 17, 2023

Representative Senfronia Thompson
Chair of the Texas House Committee on Youth Health & Safety, Select
Room 3S.6, P.O. Box 2910
Austin, TX 78768

Representative Lacey Hull
Vice Chair of the Texas House Committee on Youth Health & Safety, Select
Room E1.322, P.O. Box 2910
Austin, TX 78768

Representative Shelby Slawson
Room E2.804, P.O. Box 2910
Austin, TX 78768

RE: HB 18 – Oppose

Dear Chair Thompson, Vice Chair Hull, and Representative Slawson:

On behalf of the advertising industry, we write to respectfully ask you to decline to advance Texas HB 18.¹ While we strongly agree with protecting Texas's children and teens online, HB 18 contains provisions that would subject an excessively large range of companies to severe requirements and restrictions that would hamper innovation and hurt Texas consumers. Additionally, we are concerned that state efforts to pass privacy laws will only add to the increasingly complex privacy landscape for both consumers and businesses throughout the country. We and our members support a national standard for data privacy at the federal level, as it would provide greater consistency for businesses and protections for consumers than a complex patchwork of conflicting privacy laws across several states.

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, long-standing and emerging publishers, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product ("GDP") in 2020.² By one estimate, over half a million jobs in Texas are related to the ad-subsidized Internet.³ Our group has more than a decade's worth of hands-on experience it can bring to bear on matters related to

¹ Texas HB 18, 88th Legis. Reg. Sess. (2023), located [here](#) (hereinafter, "HB 18").

² John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 134-35 (Oct. 2021), located at https://www.iab.com/wp-content/uploads/2021/10/IAB_Economic_Impact_of_the_Market-Making_Internet_Study_2021-10.pdf (hereinafter, "Deighton & Kornfeld 2021").

³ *Id.* at 132.

consumer privacy and controls. We would welcome the opportunity to engage with you further on our suggested amendments to HB 18 outlined below.

I. HB 18 Should Adopt an “Actual Knowledge” Standard

To foster harmonization with existing state and federal laws addressing child and teen privacy, HB 18 should be amended to exclusively include an “actual knowledge” standard for applicability. As presently drafted, the bill applies to any digital service provider that either “targets minors” or “knows or should know that the digital service appeals to minors.”⁴ The bill provides no guidance regarding how a digital service provider “should know” a digital service appeals to minors.

HB 18’s current applicability standard is not present in any other state privacy law that has been enacted to date; all other state privacy laws assign requirements related to “known” children, or place requirements on entities when they have “actual knowledge” they are processing personal data associated with a child. Moreover, the requirement is entirely misaligned with the federal Children’s Online Privacy Protection Act (COPPA), which similarly places requirements on operators of websites or online services when such operators maintain child-directed digital properties or have *actual knowledge* their users are children. HB 18’s requirements would consequently contradict the approach taken in every other state privacy law as well as intrude upon and conflict with an area that is already settled in federal law.

Absent amendments to HB 18 to clarify that the bill would apply an “actual knowledge” standard with respect to requirements related to minors, companies could be effectively forced to implement age gates before *any* consumer could access a digital service. Such age gates would significantly hinder Texas minors’ ability to access low-cost and informational content online and would substantially hinder Texas adults’ ability to traverse the Internet freely and easily. We encourage you to amend HB 18 so it applies a clear actual knowledge standard to data processing restrictions and requirements related to minors.

II. HB 18’s Broad Opt-in Consent Requirements for Data Collection Would Impede Texas Minors from Receiving Informational and Relevant Content and Services

HB 18 would flatly prohibit any digital service provider from collecting personal identifying information about a minor without parental consent.⁵ Texas minors cannot benefit from the Internet unless reasonable data collection practices are preserved without a requirement to obtain parental consent. Data collection is necessary for even the most basic of Internet functions, such as rendering websites to users. The bill defines “personal identifying information” broadly to include information, such as an IP address, which is needed to show a website to a user’s computer or device. As a result, the consent requirement for data collection could functionally bar Texas minors from accessing the Internet entirely absent parental consent.

The data-driven and ad-supported online ecosystem benefits consumers—including Texas minors—and fuels economic growth and competition. Companies, nonprofits, and government agencies alike use personal identifying information to send varying groups of individuals specific, relevant messages. Tailored messaging provides immense public benefit by reaching individual consumers with information that is relevant to them in the right time and place. Legal requirements that limit entities’ ability to collect and use any personal identifying information absent consent can have unintended consequences and, ultimately, serve as a detriment to consumers’ health and welfare.

⁴ HB 18 at Sec. 509.002(a)(2)(B).

⁵ *Id.* at Sec. 509.052(a), (c).

One-size-fits-all, opt-in requirements for data collection run the risk of regulating out of existence messaging and information which is more relevant to individuals, including ad-supported content and services. Texas minors may want to learn about college or trade school opportunities, sports teams, news, or new products and services, and their ability to access such information would be severely restricted under a parental opt-in consent requirement for data collection. The requirement would virtually ensure that minors in Texas have a vastly different and more difficult experience with the Internet—the greatest informational resource of the modern era—than their contemporaries in other states. The parental consent requirement for data collection should be removed from HB 18 to preserve the significant benefits that Texas minors enjoy from open Internet access.

III. HB 18’s Ambiguous Requirements to “Prevent Harm” and “Ensure” Minors Experience No Harm is Impractical and Unclear

As drafted, HB 18 would include exceedingly amorphous requirements for digital service providers to “prevent harm” to minors and “ensure” no minor is “exposed” to harm.⁶ These requirements are unclear at best and unconstitutionally vague at worst. The bill would consequently an unrealistic and virtually impossible standard for compliance. HB 18 does not provide any information regarding what digital service providers must do—or even can do—to prevent harm to minors. Additionally, it is entirely unclear how a digital service provider could ever “ensure” no minor experiences the harms outlined in the bill.

HB 18 should avoid opaque calls to “prevent harm” and “ensure” no minor is exposed to harm to provide more clarity for honest, well-meaning Texas businesses that strive to prioritize the protection of minors online. As drafted, businesses making good faith efforts to comply with HB 18 could come to significantly different conclusions about how to effectuate the legislation’s ambiguous requirements related to harm. With this ambiguity, Texas businesses will carry a heavy burden to discern how to prevent harm, and minors will be left without clear or consistent protections across digital service providers. HB 18 should avoid such vague restrictions for the benefit of Texas minors and businesses. The requirements to “prevent harm” and “ensure” no minor is exposed to harm should be removed from the bill.

IV. HB 18’s Access Requirements Are Out-Of-Step with Existing Privacy Laws and Could Raise Competition Concerns for Businesses

As drafted, HB 18 would require digital service providers to disclose the names of third parties to whom personal identifying information is transferred, the names of the sources of such information, and “any index or score assigned to the minor,... including... who created the index or score” upon the request of a Texas minor or a Texas minor’s parent or guardian.⁷ Other states that have enacted privacy laws do not include these impractical and burdensome requirements. Instead, all other state privacy laws require companies to disclose the *categories* of third parties to whom information is transferred and the *categories* of sources of such information.⁸ Even international privacy standards, such as the European Union’s General Data Protection Regulation (“GDPR”), do not require onerous disclosures of specific third parties or sources in response to data subject access requests, according to the text of the law. Neither the GDPR nor any U.S. state privacy law that has been enacted to date requires disclosure of a “score” associated with a consumer.

⁶ *Id.* at Section 509.051.

⁷ *Id.* at Section 509.054(c).

⁸ *See, e.g.*, Cal. Civ. Code § 1798.110; Va. Code Ann. § 59.1-578; Colo. Rev. Stat. § 6-1-1301 (effective Jul. 1, 2023); Connecticut Act Concerning Personal Data Privacy and Online Monitoring, Sec. 6 (effective Jul. 1, 2023); Utah Rev. Stat. § 16-61-302(1) (effective Dec. 31, 2023).

Requiring disclosure of names of entities would be operationally burdensome, as digital service providers change customers, business partners, and vendors frequently, and companies regularly merge with others and change names. For instance, a digital service provider may engage in a data exchange with a new business-customer on the same day it responds to a Texas parent's access request. The requirement to disclose the names of all third-party personal identifying information recipients and sources would either force the digital service provider to refrain from engaging in commerce with the new business-customer until its disclosures are updated, or risk violating the law. This is an unreasonable restraint, particularly when coupled with HB 18's private right of action enforcement mechanism which could expose entities to significant and potentially enterprise-threatening claims.

Mandating that digital service providers disclose names of third parties and sources of information could obligate them to abridge confidentiality clauses they maintain in their contracts and expose proprietary business information to their competitors. Finally, the consumer benefit that would accrue from receipt of a list of third-party partners, sources of information, and "scores" associated with minors would be minimal at best. For these reasons, we encourage you to reconsider these onerous access requirements, which severely diverge from the approach to required disclosures taken in other domestic and international privacy laws.

V. HB 18's Advertising Disclosure Requirements Do Not Reflect the Nature of the Data-Driven Economy and Would Present Unrealistic Challenges for Texas Businesses

HB 18 would impose certain extreme and onerous "advertising and marketing" duties on digital service providers, including requirements to disclose the name of each product, service, or brand advertising on the digital service; the subject matter of each advertisement or marketing material on the digital service; if applicable, the reason why each advertisement has been targeted to a minor; the way in which personal identifying information leads each advertisement to be targeted to the minor; and whether certain media on the digital service are advertisements.⁹ These requirements ignore the nature of data-driven advertising that powers the economy today. Such advertising relies on programmatic digital exchanges to present relevant advertisements to consumers at the right time and in the right place. As a result, the disclosure requirements in HB 18 would be difficult if not impossible for digital service providers to observe, as such providers cannot maintain constantly up-to-date lists of products, services, or brands that may be displayed to minors through their digital properties.

As discussed in more detail in Section VII below, data-driven advertising drives economic growth and provides consumers with significant benefits, including access to free and low-cost online information and resources. The advertising and marketing disclosure requirements in HB 18 are significantly onerous and unrealistic, and they could force Texas businesses to have to stop using the economic engine that powers the Internet and economy. The advertising and marketing disclosure requirements in HB 18 should be removed from the bill.

VI. HB 18 Should Vest Enforcement Exclusively in the Texas Attorney General

HB 18 presently includes a private right of action.¹⁰ We strongly believe a private right of action is not an effective enforcement mechanism for privacy legislation. Instead, enforcement should be vested solely with the Texas Attorney General ("AG"). This enforcement structure would lead to effective compliance by digital service providers and strong outcomes for Texas minors, while better enabling digital service providers to allocate funds to develop processes and procedures to facilitate

⁹ HB 18 at Sec. 509.055.

¹⁰ *Id.* at Sec. 509.101.

compliance with new data privacy requirements. AG enforcement, instead of a private right of action, is in the best interests of Texas consumers and businesses alike.

A private right of action would create a complex and flawed compliance system without tangible privacy benefits for consumers. Allowing private actions would flood Texas's courts with frivolous lawsuits driven by opportunistic trial lawyers searching for technical violations, rather than focusing on actual consumer harm.¹¹ Private right of action provisions are completely divorced from any connection to actual consumer harm and provide consumers little by way of protection from detrimental data practices.

Additionally, establishing a private right of action would have a chilling effect on Texas's economy by creating the threat of steep penalties for companies that are good actors but inadvertently fail to conform to technical provisions of law. Private litigant enforcement provisions and related potential penalties for violations represent an overly punitive scheme that would not effectively address consumer privacy concerns or deter undesired business conduct. A private right of action would expose digital service providers to extraordinary costs for technical violations of law rather than drive systemic and helpful changes to business practices. It would also encumber their attempts to innovate by threatening them with expensive litigation expenses, especially if those companies are visionaries striving to develop transformative new technologies. The threat of an expensive lawsuit may force smaller digital service providers to agree to settle claims against them, even if they are convinced the claims are without merit.¹²

Beyond the staggering cost to Texas businesses, the resulting snarl of litigation could create a chaotic and inconsistent enforcement framework with conflicting requirements based on differing court outcomes. Overall, a private right of action would serve as a windfall to the plaintiff's bar without focusing on the business practices that actually harm consumers. We therefore encourage legislators to remove the private right of action from HB 18 and make enforcement responsibility the purview of the AG alone.

VII. The Data-Driven and Ad-Supported Online Ecosystem Benefits Texans and Fuels Economic Growth

Over the past several decades, data-driven advertising has created a platform for innovation and tremendous growth opportunities. A recent study found that the Internet economy's contribution to the United States' GDP grew 22 percent per year since 2016, in a national economy that grows between two to three percent per year.¹³ In 2020 alone, it contributed \$2.45 trillion to the U.S.'s \$21.18 trillion GDP, which marks an eightfold growth from the Internet's contribution to GDP in 2008 of \$300 billion.¹⁴ Additionally, more than 17 million jobs in the U.S. were generated by the commercial

¹¹ A select few attorneys benefit disproportionately from private right of action enforcement mechanisms in a way that dwarfs the benefits that accrue to the consumers who are the basis for the claims. For example, a study of 3,121 private actions under the Telephone Consumer Protection Act ("TCPA") showed that approximately 60 percent of TCPA lawsuits were brought by just forty-four law firms. Amounts paid out to consumers under such lawsuits proved to be insignificant, as only 4 to 8 percent of eligible claim members made themselves available for compensation from the settlement funds. U.S. Chamber Institute for Legal Reform, *TCPA Litigation Sprawl* at 2, 4, 11-15 (Aug. 2017), located [here](#).

¹² For instance, in the early 2000s, private actions under California's Unfair Competition Law ("UCL") "launched an unending attack on businesses all over the state." American Tort Reform Foundation, *State Consumer Protection Laws Unhinged: It's Time to Restore Sanity to the Litigation* at 8 (2003), located [here](#). Consumers brought suits against homebuilders for abbreviating "APR" instead of spelling out "Annual Percentage Rate" in advertisements and sued travel agents for not posting their phone numbers on websites, in addition to initiating myriad other frivolous lawsuits. These lawsuits disproportionately impacted small businesses, ultimately resulting in citizens voting to pass Proposition 64 in 2004 to stem the abuse of the state's broad private right of action under the UCL. *Id.*

¹³ Deighton & Kornfeld 2021 at 5.

¹⁴ *Id.*

Internet in 2020, 7 million more than four years prior.¹⁵ More Internet jobs, 38 percent, were created by small firms and self-employed individuals than by the largest Internet companies, which generated 34 percent.¹⁶ The same study found that the ad-supported Internet supported 566,061 full-time jobs across Texas, more than double the number of Internet-driven jobs from 2016.¹⁷

A. Advertising Fuels Economic Growth

Data-driven advertising supports a competitive online marketplace and contributes to tremendous economic growth. Overly restrictive legislation that significantly hinders certain advertising practices, such as third-party tracking, could yield tens of billions of dollars in losses for the U.S. economy—and, importantly, not just in the advertising sector.¹⁸ One recent study found that “[t]he U.S. open web’s independent publishers and companies reliant on open web tech would lose between \$32 and \$39 billion in annual revenue by 2025” if third-party tracking were to end “without mitigation.”¹⁹ That same study found that the lost revenue would become absorbed by “walled gardens,” or entrenched market players, thereby consolidating power and revenue in a small group of powerful entities.²⁰ Smaller news and information publishers, multi-genre content publishers, and specialized research and user-generated content would lose more than an estimated \$15.5 billion in revenue.²¹ According to one study, “[b]y the numbers, small advertisers dominate digital advertising, precisely because online advertising offers the opportunity for low cost outreach to potential customers.”²² Absent cost-effective avenues for these smaller advertisers to reach the public, businesses focused on digital or online-only strategies would suffer immensely in a world where digital advertising is unnecessarily encumbered by overly-broad regulations.²³ Data-driven advertising has thus helped to stratify economic market power and foster competition, ensuring that smaller online publishers can remain competitive with large global technology companies.

B. Advertising Supports Texans’ Access to Online Services and Content

In addition to providing economic benefits, data-driven advertising subsidizes the vast and varied free and low-cost content publishers offer consumers through the Internet, including public health announcements, news, and cutting-edge information. Advertising revenue is an important source of funds for digital publishers,²⁴ and decreased advertising spends directly translate into lost profits for those outlets. Revenues from online advertising based on the responsible use of data support the cost of content that publishers provide and consumers value and expect.²⁵ And, consumers tell us that. In fact, consumers valued the benefit they receive from digital advertising-subsidized

¹⁵ *Id.*

¹⁶ *Id.* at 6.

¹⁷ Compare *id.* at 134-35 (Oct. 2021), located [here](#) with John Deighton, Leora Kornfeld, and Marlon Gerra, *Economic Value of the Advertising-Supported Internet Ecosystem*, INTERACTIVE ADVERTISING BUREAU, 106 (2017), located [here](#) (finding that Internet employment contributed 253,097 full-time jobs to the Texas workforce in 2016 and 566,061 jobs in 2020).

¹⁸ See John Deighton, *The Socioeconomic Impact of Internet Tracking* 4 (Feb. 2020), located at <https://www.iab.com/wp-content/uploads/2020/02/The-Socio-Economic-Impact-of-Internet-Tracking.pdf>.

¹⁹ *Id.* at 34.

²⁰ *Id.* at 15-16.

²¹ *Id.* at 28.

²² J. Howard Beales & Andrew Stivers, *An Information Economy Without Data*, 9 (2022), located [here](#).

²³ See *id.* at 8.

²⁴ See Howard Beales, *The Value of Behavioral Targeting* 3 (2010), located at https://www.researchgate.net/profile/Howard-Beales/publication/265266107_The_Value_of_Behavioral_Targeting/links/599ecccc6fdcc500355d5af/The-Value-of-Behavioral-Targeting.pdf.

²⁵ See John Deighton & Peter A. Johnson, *The Value of Data: Consequences for Insight, Innovation & Efficiency in the US Economy* (2015), located at <https://www.ipc.be/~media/documents/public/markets/the-value-of-data-consequences-for-insight-innovation-and-efficiency-in-the-us-economy.pdf>.

online content at \$1,404 per year in 2020—a 17% increase from 2016.²⁶ Another study found that the free and low-cost goods and services consumers receive via the ad-supported Internet amount to approximately \$30,000 of value per year, measured in 2017 dollars.²⁷ Legislative frameworks that inhibit or restrict digital advertising can cripple news sites, blogs, online encyclopedias, and other vital information repositories, and these unintended consequences also translate into a new tax on consumers. The effects of such legislative frameworks ultimately harm consumers by reducing the availability of free or low-cost educational content that is available online.

C. Consumers Prefer Personalized Ads & Ad-Supported Digital Content and Media

Consumers, across income levels and geography, embrace the ad-supported Internet and use it to create value in all areas of life. Importantly, research demonstrates that consumers are generally not reluctant to participate online due to data-driven advertising and marketing practices. One study found more than half of consumers (53 percent) desire relevant ads, and a significant majority (86 percent) desire tailored discounts for online products and services.²⁸ Additionally, in a recent Zogby survey conducted by the Digital Advertising Alliance, 90 percent of consumers stated that free content was important to the overall value of the Internet and 85 percent surveyed stated they prefer the existing ad-supported model, where most content is free, rather than a non-ad supported Internet where consumers must pay for most content.²⁹ Indeed, as the Federal Trade Commission noted in its comments to the National Telecommunications and Information Administration, if a subscription-based model replaced the ad-based model, many consumers likely would not be able to afford access to, or would be reluctant to utilize, all of the information, products, and services they rely on today and that will become available in the future.³⁰

Laws that restrict access to information and economic growth can have lasting and damaging effects. The ability of consumers to provide, and companies to responsibly collect and use, consumer data has been an integral part of the dissemination of information and the fabric of our economy for decades. The collection and use of data are vital to our daily lives, as much of the content we consume over the Internet is powered by open flows of information that are supported by advertising. We therefore respectfully ask you to carefully consider HB 18’s potential impact on advertising, the consumers who reap the benefits of such advertising, and the overall economy before advancing it through the legislative process.

* * *

²⁶ Digital Advertising Alliance, *Americans Value Free Ad-Supported Online Services at \$1,400/Year; Annual Value Jumps More Than \$200 Since 2016* (Sept. 28, 2020), located [here](#).

²⁷ J. Howard Beales & Andrew Stivers, *An Information Economy Without Data*, 2 (2022), located [here](#).

²⁸ Mark Sableman, Heather Shoenberger & Esther Thorson, *Consumer Attitudes Toward Relevant Online Behavioral Advertising: Crucial Evidence in the Data Privacy Debates* (2013), located at https://www.thompsoncoburn.com/docs/default-source/Blog-documents/consumer-attitudes-toward-relevant-online-behavioral-advertising-crucial-evidence-in-the-data-privacy-debates.pdf?sfvrsn=86d44cea_0.

²⁹ Digital Advertising Alliance, *Zogby Analytics Public Opinion Survey on Value of the Ad-Supported Internet Summary Report* (May 2016), located at https://digitaladvertisingalliance.org/sites/aboutads/files/DAA_files/ZogbyAnalyticsConsumerValueStudy2016.pdf.

³⁰ Federal Trade Commission, *In re Developing the Administration’s Approach to Consumer Privacy*, 15 (Nov. 13, 2018), located at https://www.ftc.gov/system/files/documents/advocacy_documents/ftc-staff-comment-ntia-developing-administrations-approach-consumer-privacy/p195400_ftc_comment_to_ntia_112018.pdf.

We and our members support protecting minors' privacy. We believe, however, that HB 18 would impose particularly onerous requirements on entities doing business in the state and would unnecessarily impede Texas minors and adults alike from receiving helpful services and accessing useful information online. We therefore respectfully ask you to reconsider HB 18 or amend it to reflect the recommendations set forth in this letter.

Thank you in advance for your consideration of this letter.

Sincerely,

Christopher Oswald
EVP for Law, Ethics & Govt. Relations
Association of National Advertisers
202-296-1883

Alison Pepper
Executive Vice President, Government Relations
American Association of Advertising Agencies, 4A's
202-355-4564

Lartase Tiffith
Executive Vice President for Public Policy
Interactive Advertising Bureau
212-380-4700

Clark Rector
Executive VP-Government Affairs
American Advertising Federation
202-898-0089

Lou Mastria, CIPP, CISSP
Executive Director
Digital Advertising Alliance
347-770-0322

CC: Mike Signorelli, Venable LLP
Allie Monticollo, Venable LLP